Protecting Your Business

All business ventures involve an element of risk. Identifying key risks in advance and figuring out how to guard against them will increase your start-up's chances of success.

Assessing risks

To effectively plan for risks, you must first identify them. One way to do this is to carry out a simple risk assessment. This involves noting potential risks, from threats to your intellectual property (see pp.96–97) to employee accidents and fire damage, then evaluating how severely these risks would impact on your business and how likely they are to occur. You might find it helpful to create a chart (see top, right).

Your assessment of a risk's likelihood should take into account past performances and also encompass possible future events. Make a plan of action for each weighted risk, and decide whether you intend to avoid, minimize, or accept it.

You might seek to avoid a risk by changing a supplier or minimize a threat by altering a process. Where the risk seems small, you might choose to accept it, but monitor it. Another option is to guard against risks by transferring them to a third party, such as an insurance company (see below).

Types of business insurance

A start-up's insurance requirements will depend on the type of work you undertake, where the business is based, and what risks are involved. Identify your immediate insurance needs initially, then regularly review the situation as the business develops, adding extra coverage as appropriate. There are several key insurance products that you might consider for your new business; depending on the country you are operating from and the nature of your business, some may be mandatory (see pp.212–215).